MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) REGULAR IMPROVEMENTI REAPPEARANCE EXAMINATION November 2025- FIRST SEMESTER
Multi-Disciplinary Courses (MDC) - MG1MDCECO101 - FOUNDATIONS IN ECONOMICS
(2024 ADMISSION ONWARDS)
Duration: 1 Hour 30 Minutes Maximum Marks: 50

Part A- Multiple choice questions
Answer all questions, Each question carries 1 marks

1. b. Government revenue and expenditure
2. c. Households and Firms
3. b. National Income
4. b. Downward sloping
5. b. Surplus Budget
6. a. India
7. b. High-risk, high-return strategies
8. b. Savings account or current account.
9. d. 1935.
10. b. It requires an IFSC code for every transaction
11. c. Issuing companies and investors
12. b. Fixed capital requirements.
13. c. SEBI (Securities and Exchange Board of India).
14. b. Screen based electronic system
15. a. Money market

Part B- Short Answer
Answer any 10 questions, Each question carries 2 marks

16. Scarcity means the limited availability of resources compared to the unlimited wants of people. It refers to the basic economic problem that resources are not sufficient to satisfy all human wants.
17. Value added means the additional value created by a firm during the production process. It is the difference between the value of the final output produced and the cost of intermediate goods used.
18. Total utility refers to the overall satisfaction a consumer derives from consuming a given quantity of a good or service. Marginal utility is the additional satisfaction that a consumer receives from consuming one additional unit of a good or service.
19. Productive debt refers to borrowing that is used for purposes which generate income or create assets for the economy. for example, loans taken for irrigation projects, or industries. Unproductive debt refers to borrowing used for purposes that do not create income or assets for the economy. These debts do not contribute to economic growth, for example, loans taken for war or government administrative expenses.
20. To promote economic development: Government spends on infrastructure, education, health, and industries to improve the overall growth of the economy. To ensure social welfare: Public expenditure aims to reduce poverty, provide basic services, and improve the standard of living of the people.

21. Repo rate is the rate of interest at which the Reserve Bank of India (RBI) lends short-term funds to commercial banks against government securities. It is used as a tool of monetary policy
22. A Zero Balance Account is a type of bank account in which the customer is not required to maintain any minimum balance.
23. Commodity money is money that has its own intrinsic value. The material itself (like gold, silver, or grains) has value even if it is not used as money. Fiat money is money that has no intrinsic value but is accepted as money because the government declares it as legal tender (like paper currency and coins).
24. NABARD provides refinancing facilities to banks and financial institutions for promoting agriculture, rural industries, and overall rural development in the country. MUDRA Bank provides credit support to micro and small enterprises by offering loans under the Shishu, Kishore, and Tarun categories to promote entrepreneurship.
25. Primary Agricultural Credit Societies are village-level cooperative credit institutions that provide short-term and medium-term loans to farmers for agricultural and related activities. **Value liberally**
26. Financial intermediation is the process by which financial institutions such as banks, insurance companies, and mutual funds act as intermediaries between savers and borrowers.
27. A non-convertible debenture is a type of debt instrument issued by companies that cannot be converted into shares or equity at a later stage. They are fixed income instruments- with specific tenure and fixed interest rates.
28. Primary market – also known as the new issue market – is where securities are sold for the first time by a company – involves the issue of new shares, debentures, or bonds to investors – enables companies and governments to raise fresh capital directly from the public.
29. SEBI regulates the stock exchange to ensure fair, transparent, and efficient functioning of the securities market. It protects the interests of investors by preventing fraudulent practices, insider trading, and market manipulation. SEBI also formulates rules, monitors the activities of stockbrokers and listed companies, and ensures that all trading takes place in a disciplined and orderly manner.

Part C- Short Essay
Answer any 3 questions, Each question carries 5 marks

30. Marginal Rate of Substitution (MRS) – helps in understanding consumer preferences between two goods – shows how much of one good a consumer is willing to give up to gain an extra unit of another – is measured as the slope of the indifference curve – reflects the opportunity cost of choosing one good over another – indicates the willingness to substitute one good for another while keeping satisfaction constant – explains the trade-off and relative preference between the two goods. **Value liberally**
31. Non-tax revenue is income a government generates from sources other than taxes- Primary sources of non-tax revenue – fees and fines – penalties- escheats- special

assessment – dividends and profits from public sector undertakings- forfeitures- interest received on loans given to states and public enterprises.

32. Monetary policy – refers to the policy of the central bank to regulate money supply, credit, and interest rates in the economy – works as a credit control tool by influencing the availability and cost of credit in the financial system – uses quantitative measures like bank rate, repo rate, reverse repo rate, open market operations, and cash reserve ratio(CRR), Statutory liquidity ratio (SLR)– uses qualitative measures like moral suasion, credit rationing, margin requirements, consumer credit regulation, direct action selective credit control, and credit rationing to influence the direction and quality of credit.
33. Money supply – refers to the total stock of money available in an economy at a particular time. Components- M0 – known as the reserve money – includes currency in circulation + Bankers deposits with the RBI + Other deposits with the. M1 – known as narrow money – includes currency with the public + demand deposits with banks + and other deposits with the RBI.
34. SIDBI -Small Industries Development Bank of India) – aims to promote, finance and develop small-scale and micro enterprises in India – its objectives include infrastructure development, rehabilitation for sick industrial units, expanding the marketing channel for the small scale industries product, its functions include providing direct and indirect loans, refinancing to banks and financial institutions, creating employment opportunities, improving regional development, boosting industrial production, enabling easier credit flow to small units, and contributing to overall economic growth. **Value liberally**
35. Features of CBLO (Collateralised Borrowing and Lending Obligation) – is a short-term money market instrument that allows borrowing and lending of funds against collateral – operates through the Clearing Corporation of India Ltd- provides secured borrowing because transactions are backed by government securities as collateral – offers flexible maturities – ensures anonymity of borrowers and lenders- provides high liquidity.
36. The money market is a market for short-term funds, which deals in financial assets whose period of maturity is up to one year -It provides profitable short-term investment opportunities for financial institutions – increases liquidity in the entire economy – helps avoid wide seasonal fluctuations in interest rates – enables quick transfer of funds across regions, preventing regional shortages and surpluses – offers various credit instruments to augment the supply of short-term funds – supports the effective implementation of central banking policies through a well-organised structure.